various wings of the family. There are too many family members (usually more than 30) for everyone to be a part of the council.

When a family reaches the family republic stage, it is a good idea for individual family units to meet separately to discuss the issue at hand before sending their representatives to meet with the Family Council.

PRESERVING YOUR FINANCIAL LEGACY: HOW TO ESTABLISH YOUR INVESTMENT COMMITTEE

This is a common narrative among wealthy families: The wealth creator dies and leaves the money to his family. But he takes his wealth creation and investing skills with him. Family wealth is then transferred from the widow and her children to the children of investment managers and estate planners.

Wall Street brokerages sometimes have what is effectively a “sucker’s list.” Often, it is composed of the names of widows and children who were left sizable estates without the ability to competently manage that wealth. You don’t want your family on the sucker’s list.

A well-functioning investment committee can prevent that from happening. Here’s how it works:

The committee stays in regular communication and shares investment ideas. But with such an ultra-long-term time horizon, the committee does not do a lot of buying and selling. New investment committee members from each generation are trained and groomed from a young age. They learn about investing through educational programs and direct experience. They deliberate long and hard. They study. They think. There is no need to make quick decisions in family money investing. There is plenty of time to learn. Just relax and take your time.